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HEARD ON THE STREET

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Can Adobe Keep the Clouds Away?

Software maker's solid performance should help as rising peer valuations will make investors pickier

By Dan Gallagher

Dec. 15, 2017 at 11:55 am ET



Investors have embraced Adobe's transition to a cloud-based, subscription business model. LUCY NICHOLSON/REUTERS

When it comes to software, investors sometimes get what they are willing to pay for.

Adobe Systems has never been a cheap stock to own. It has averaged about 32 times forward earnings over the past five years, compared with an average of 18 times for the S&P 500 Software & Services group. The stock trades around that level now, after having gained about 70% this year as investors embraced the company's transition to a cloud-based, subscription business model, which has boosted both revenue and operating earnings.

Adobe's fiscal fourth-quarter results posted Thursday suggests the steam hasn't yet run out on that shift. Revenue jumped 25% year over year and exceeded the \$2 billion mark for the first time. Operating margins of 32% were the highest in at least seven years, according to S&P Global Market Intelligence. Adobe also projected revenue growth of 21% year over year for the current quarter, which ends in February, and maintained a previous forecast for full-year growth of 20%.

That should also cool some of the fears that arose over Adobe following its last report, when the company warned that some larger deals were taking longer to close. With 84% of its revenue now coming from subscriptions, Adobe is showing that strong growth is still possible at what might seem the tail end of its transition, as demand for the company's content and marketing services continues to grow from big and small businesses.

But Adobe and its peers may still face a higher bar heading into the new year. Software stocks have been on a tear this year, especially those selling cloud-based and subscription-based services. The 10 largest cloud software stocks on the market are up 68% this year—more than double the Nasdaq Composite's gain. J.P. Morgan's software analysts downgraded 19 stocks, including Adobe, earlier this week, citing the belief that a repeat performance for the sector will be difficult for the coming year.

That will keep the pressure on Adobe to keep up its pace. The company's solid performance to date has rightfully made it one of the brightest spots in the cloud sector. That should give some protection when the rains come.

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Dan Gallagher is a former columnist for The Wall Street Journal's Heard on the Street, where he covered the technology and media industries. His work for the Heard column spanned the businesses of artificial intelligence, semiconductors, internet, software, hardware, advertising, streaming TV and film. Dan also wrote WSJ's AI &...

